

# EVERCORE ISI

Technology | Semiconductors and Semiconductor Equipment

August 29, 2024

## NVIDIA Corp.

NVDA | \$125.61

**Outperform | Target Price/Base Case: \$150.00**

**Company Update**

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### Company Statistics

|                           |                    |
|---------------------------|--------------------|
| 52-Week Range             | \$39.23 - \$140.76 |
| Market Capitalization (B) | \$3,090            |
| Enterprise Value (B)      | \$3,070            |
| Dividend Yield            | 0.0%               |
| Net Cash/Share            | \$(0.82)           |
| Shares Outstanding (M)    | 24,600             |

### Earnings Summary

|                   |    | 2023   | 2024E   | 2025E  |
|-------------------|----|--------|---------|--------|
| Revenue (B)       | Q1 | \$7    | \$26A   | \$38   |
|                   | Q2 | \$14   | \$30A   | \$41   |
|                   | Q3 | \$18   | \$33    | \$44   |
|                   | Q4 | \$22   | \$36    | \$46   |
|                   | CY | \$61   | \$125   | \$168  |
| Cons Revenue (B)  | Q1 | \$7    | \$26A   | \$38   |
|                   | Q2 | \$14   | \$30A   | \$40   |
|                   | Q3 | \$18   | \$32    | \$43   |
|                   | Q4 | \$22   | \$35    | \$47   |
|                   | CY | \$61   | \$123   | \$168  |
| EPS (Calendar)    | Q1 | \$0.11 | \$0.61A | \$0.83 |
|                   | Q2 | \$0.27 | \$0.68A | \$0.90 |
|                   | Q3 | \$0.40 | \$0.74  | \$0.97 |
|                   | Q4 | \$0.52 | \$0.78  | \$1.03 |
|                   | CY | \$1.30 | \$2.81  | \$3.73 |
| Consensus Adj EPS | Q1 | \$0.11 | \$0.61A | \$0.86 |
|                   | Q2 | \$0.27 | \$0.68A | \$0.91 |
|                   | Q3 | \$0.40 | \$0.72  | \$0.97 |
|                   | Q4 | \$0.52 | \$0.79  | \$1.06 |
|                   | CY | \$1.30 | \$2.80  | \$3.81 |

## JulQ Beat/Raise. Excellent Blackwell Visibility

We retain OP rating and continue to view NVDA as a top pick post a JulQ 5% EPS beat and OctQ 1% outlook raise. NT GM weakness potentially weighs on the stock, but we chalk it up to lower yields associated with shipping new H200 and Blackwell product lines. We expect GMs to bottom early CY25 and believe Blackwell and H200 demand exceeds supply. Reiterate OP.

- NVDA addressed Blackwell concerns, changed mask set and expects Blackwell to ship several billion dollars in revs in JanQ-25.
- H200 (+40% memory bandwidth vs H100) began ramping shipments to CSPs in JulQ
- Hopper demand remains strong and NVDA expects shipments to increase in C2H24 vs C1H24 as supply improves
- Demand for Blackwell well above supply heading into the next year

**Lower GM Due to Higher New Products Mix.** C2H24 GM outlook came in below consensus ~50bps/~300bps below consensus is OctQ/JanQ as higher mix of lower margin new products in Data Center. We believe that margins will return to ~74%+ exiting C25 as Blackwell cost structure benefits from higher volumes.

**Long-And-Strong Through 1H25.** NVDA posted two 50%+ corrections in recent history: a) 2H18, one qtr before peak CapEx spend starting at a P/E 38, b) 2021-22, four qtrs. Before peak CapEx spend, starting at a P/E 67. As we forecast peak CapEx in 4Q25, with NVDA P/E currently at 37, we don't expect a material sell-off in NVDA before mid-2025.

**JulQ-24 Rev/EPS Beat.** JulQ-24 Revs of \$30bn (+15% QQ/+122% YY) beat consensus by 5%. GM of 75.7% was in-line with consensus and OpM of 66.4% beat consensus by 40bps. Non-GAAP EPS of \$0.68 beat consensus by \$0.04/6%.

**OctQ-24 Revs/EPS Beat.** OctQ-24 Revs guidance of \$32.5bn at midpoint implies 8% QQ / +79% YY growth was 250bps above consensus. Non-GAAP GM of 75% was 50bps below consensus and OpEx of \$3bn was 90bps above consensus. Implied Non-GAAP EPS of \$0.72 is \$0.01/1% above consensus.

**C24 GM in mid-70% and OpEx to Grow Mid- to Upper-40% YY.**

**Reiterate OP, PT \$150.** We continue to view NVDA as our top Tectonic Shift in Computing pick, with a full-stack ecosystem that positions it to capture 70-80% of the value created in the parallel processing era. We think NVDA has >\$10 of EPS power in 2030, and that it could ultimately grow to be 10-15% weighting of the S&P500 Index.

**Links to Related Research:** [JulQ Preview: Buyers into Print and Thru 1H25](#) and [AI Channel Check Takes](#) and [NVDA is Not A Semiconductor Company - Initiate at Outperform](#)

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NVDA beat our EPS est by 5% on higher revs and better GM

A/R DSO of 43 days remained flat QQ and decreased 5 days YY  
Inventories at 83 days decreased 18 days YY and decreased 14 days QQ

Figure 1: NVDA Results

| Non-GAAP        | Jul-24QA |          |           |
|-----------------|----------|----------|-----------|
|                 | EVR ISI  | Actual   | Consensus |
| Revenues (\$mn) | \$29,186 | \$30,040 | \$28,737  |
| Gross Margin    | 75.0%    | 75.7%    | 75.7%     |
| EPS             | \$0.65   | \$0.68   | \$0.65    |

Source: Company Data, Evercore ISI Research, FactSet

Figure 2: NVDA Variance

| Non-GAAP        | Oct-24QE        |          |           |
|-----------------|-----------------|----------|-----------|
|                 | EVR ISI (Prior) | Outlook  | Consensus |
| Revenues (\$mn) | \$31,948        | \$32,500 | \$31,714  |
| Gross Margin    | 74.7%           | 75.0%    | 75.5%     |
| EPS             | \$0.71          | \$0.72   | \$0.71    |

Source: Company Data, Evercore ISI Research

Figure 3: NVDA Variance

| Non-GAAP               | Jul-24QA |          |        |
|------------------------|----------|----------|--------|
|                        | EVR ISI  | Actual   | Δ      |
| Revenues (\$mn)        | \$29,186 | \$30,040 | 4.1%   |
| Gross Margin (%)       | 75.0%    | 75.7%    | 1.4%   |
| Opex (\$mn)            | \$2,800  | \$2,792  | 0.1%   |
| Other Inc (Exp) (\$mn) | \$300    | \$380    | 0.6%   |
| Tax (\$mn)             | \$3,294  | \$3,365  | (0.3%) |
| Diluted Shares         | 24,790   | 24,848   | (0.1%) |
| EPS                    | \$0.65   | \$0.68   | 5.2%   |

Source: Company Data, Evercore ISI Research

Figure 4: NVDA Selected Financials

|                | (\$mn) | 2Q23   | 1Q24   | 2Q24   | Δ QQ | Δ YY |
|----------------|--------|--------|--------|--------|------|------|
| Revs           |        | 13,507 | 26,044 | 30,040 | 15%  | 122% |
| COGS           |        | 3,924  | 5,520  | 7,351  | 33%  | 87%  |
| AR             |        | 7,066  | 12,365 | 14,132 | 14%  | 100% |
| Inventory      |        | 4,319  | 5,864  | 6,675  | 14%  | 55%  |
| AR DSO         |        | 48     | 43     | 43     | 0    | -5   |
| Inventory Days |        | 100    | 97     | 83     | -14  | -18  |

Source: Company Data, Evercore ISI Research

Figure 5: EVR ISI NVDA Estimates vs. Prior and Consensus

|                  |                | Estimates - ISI vs. Consensus |           |           |           |           |            |            |
|------------------|----------------|-------------------------------|-----------|-----------|-----------|-----------|------------|------------|
|                  |                | Apr Q                         | Jul Q     | Oct Q     | Jan Q     | F24/CY23  | FY25/CY24  | FY26/CY25  |
| Evercore ISI     | Revenues       | \$26,044M                     | \$30,040M | \$33,004M | \$35,756M | \$60,922M | \$124,843M | \$167,868M |
|                  | EPS (excl SBC) | \$0.61                        | \$0.68    | \$0.74    | \$0.78    | \$1.30    | \$2.81     | \$3.73     |
| Old Evercore ISI | Revenues       | \$26,044M                     | \$29,186M | \$31,948M | \$34,654M | \$60,922M | \$121,832M | \$159,113M |
|                  | EPS (excl SBC) | \$0.61                        | \$0.65    | \$0.71    | \$0.78    | \$1.30    | \$2.75     | \$3.61     |
| Consensus        | Revenues       | \$26,044M                     | \$30,040M | \$31,905M | \$35,191M | \$60,922M | \$123,179M | \$167,783M |
|                  | EPS (excl SBC) | \$0.61                        | \$0.68    | \$0.72    | \$0.79    | \$1.30    | \$2.80     | \$3.81     |

Source: Company Data, Evercore ISI Research, FactSet

We are buyers post JulQ and through 1H25

Near Term Indicator

We view hyperscale CapEx as one of the most important indicators for NVDA near term demand

While we forecast an inflection in CapEx in 2025, we believe hyperscale CapEx increased by 20% QQ in the JunQ, which we believe positively impacted NVDA's JulQ

Furthermore, we forecast hyperscale CapEx increases by 8% QQ in the SepQ and by 10% QQ in the DecQ, which indicates positive demand trends through 2H24

Cycle Indicator

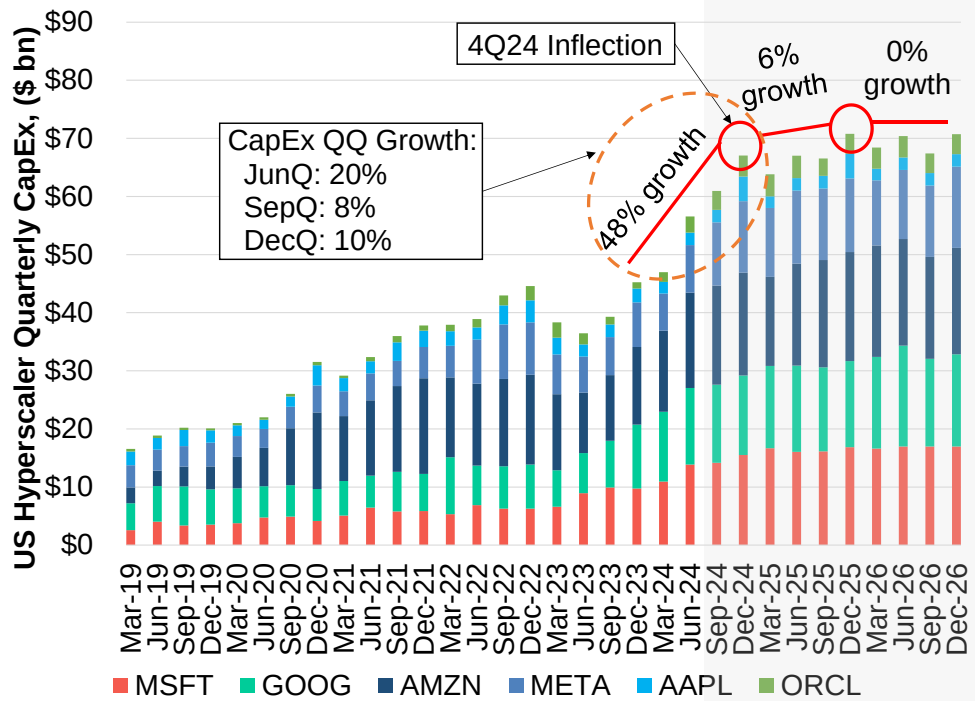
NVDA has experienced two 50%+ corrections in recent history:

**3Q-4Q18:** one qtr before peak CapEx in 4Q18. NVDA's 56% selloff started when its P/E was 38x

**4Q21-3Q22:** four qtrs. Before peak CapEx in 4Q22. NVDA's 66% selloff started when its P/E was 67x

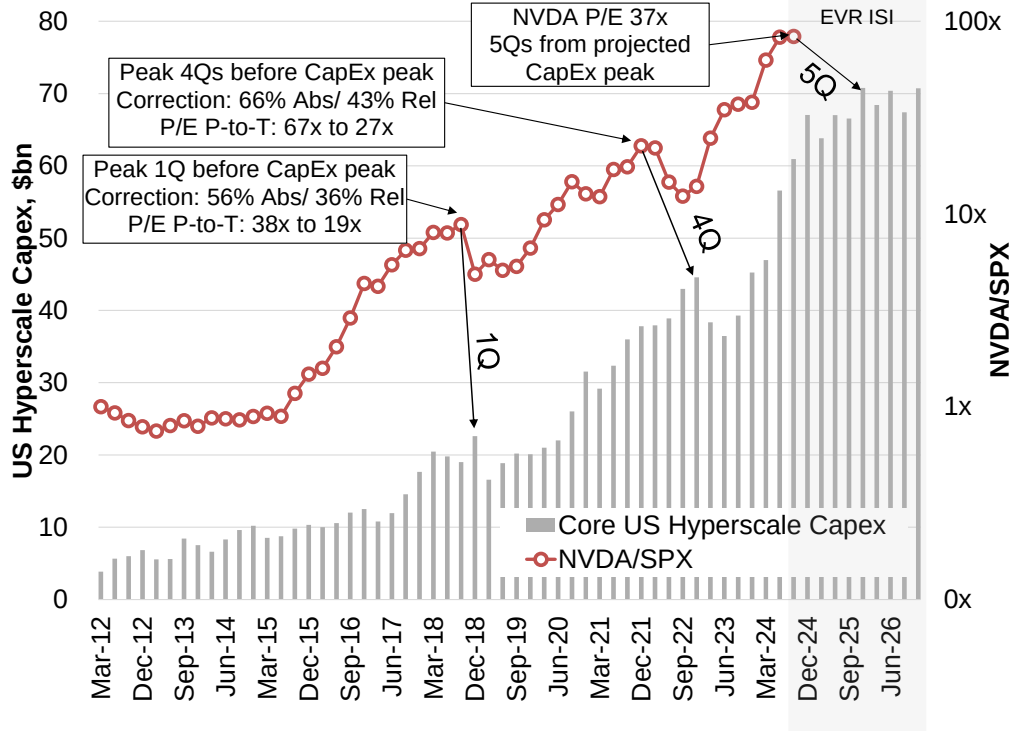
We do not expect NVDA's next material correction before mid-2025 because:  
1) We currently forecast peak CapEx in 4Q25, and  
2) NVDA's P/E is 37

Figure 6: Core US Hyperscale Capex vs NVDA Y/Y Change



Source: Company Data, Evercore ISI Research, includes MSFT, GOOG, AMZN, META, AAPL, ORCL

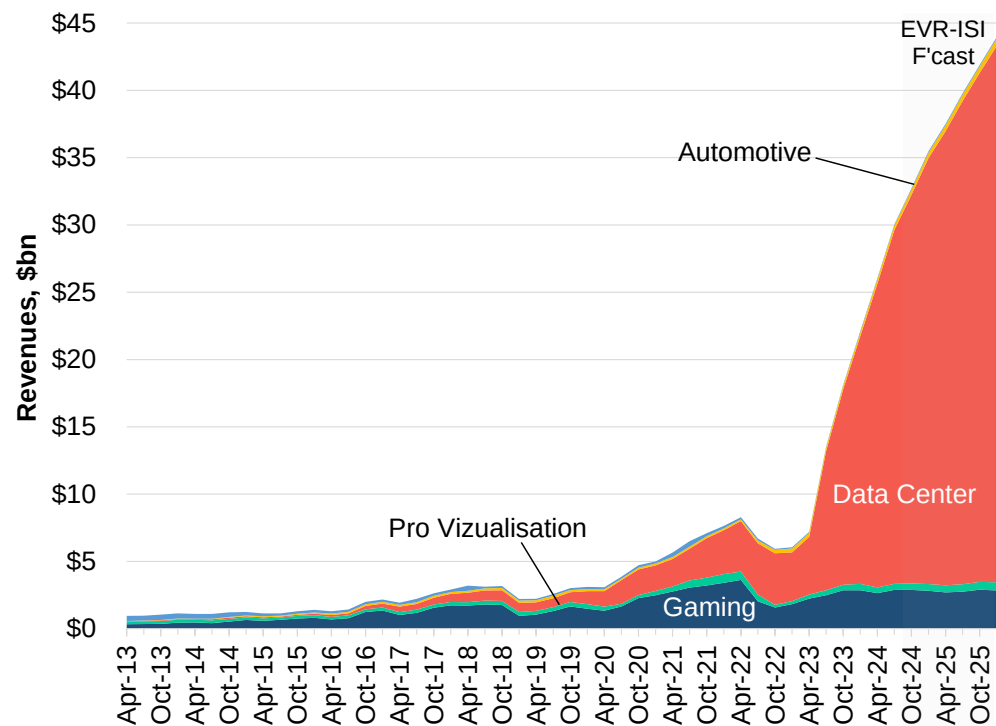
Figure 7: Core US Hyperscale Capex vs NVDA to S&P500



Source: Company Data, Evercore ISI Research, includes MSFT, GOOG, AMZN, META, AAPL ORCL

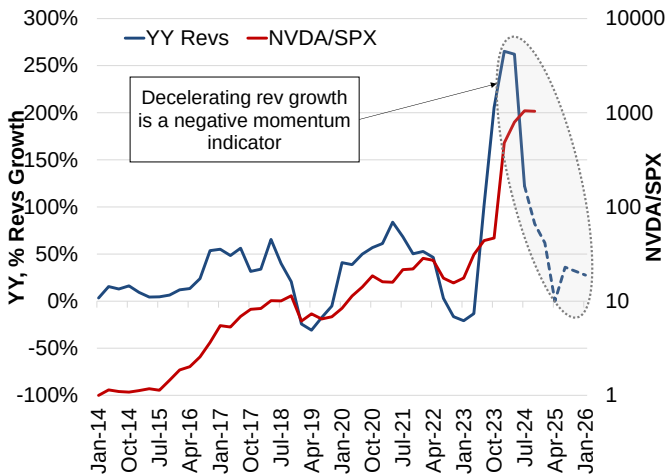
Demand for parallel processing capability in the form of AI workloads has been the primary driver of NVDA's revenue growth over the past year

Figure 8: NVDA Revenue by Segment



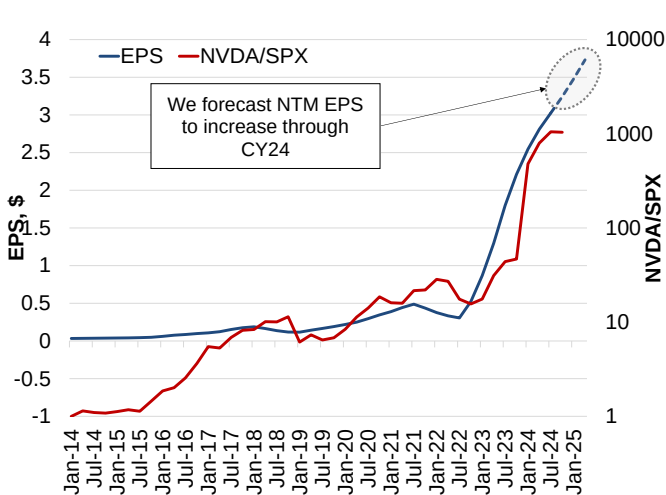
Source: Company Data, Evercore ISI Research

Figure 9: Decelerating Rev Growth Is a Negative Momentum Indicator



Source: Company Data, Evercore ISI Research

Figure 10: We Forecast NTM EPS to Increase Through CY25

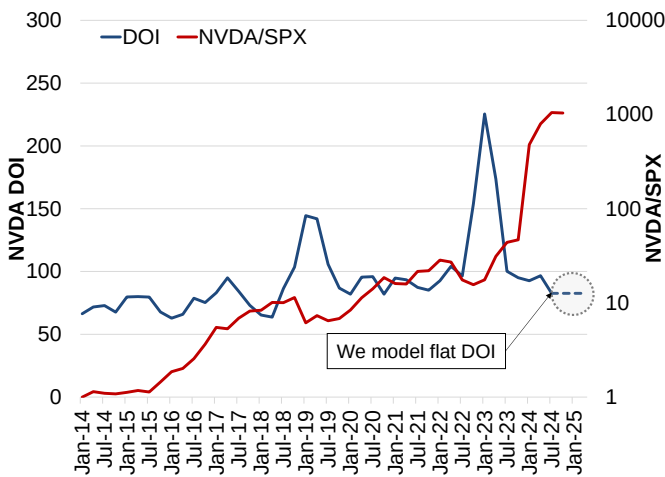


Source: Company Data, Evercore ISI Research, FactSet

We model NVDA YY revenues grew 122% in JulQ-24 was below 262% YY in AprQ-24 and the peak YY growth of 265% in JanQ-24

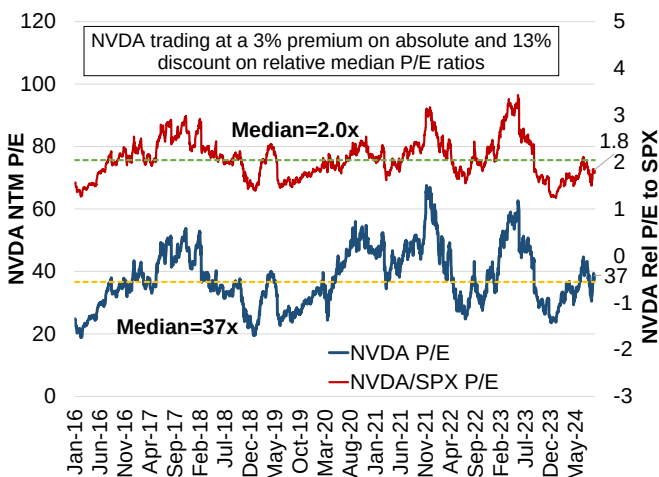
We model NVDA's NTM EPS will increase through 2024

Figure 11: DOI Decreasing in JulQ, We Model Flat QQ



Source: Company Data, Evercore ISI Research, FactSet

Figure 12: NVDA NTM P/E vs. Relative P/E (to S&P 500)



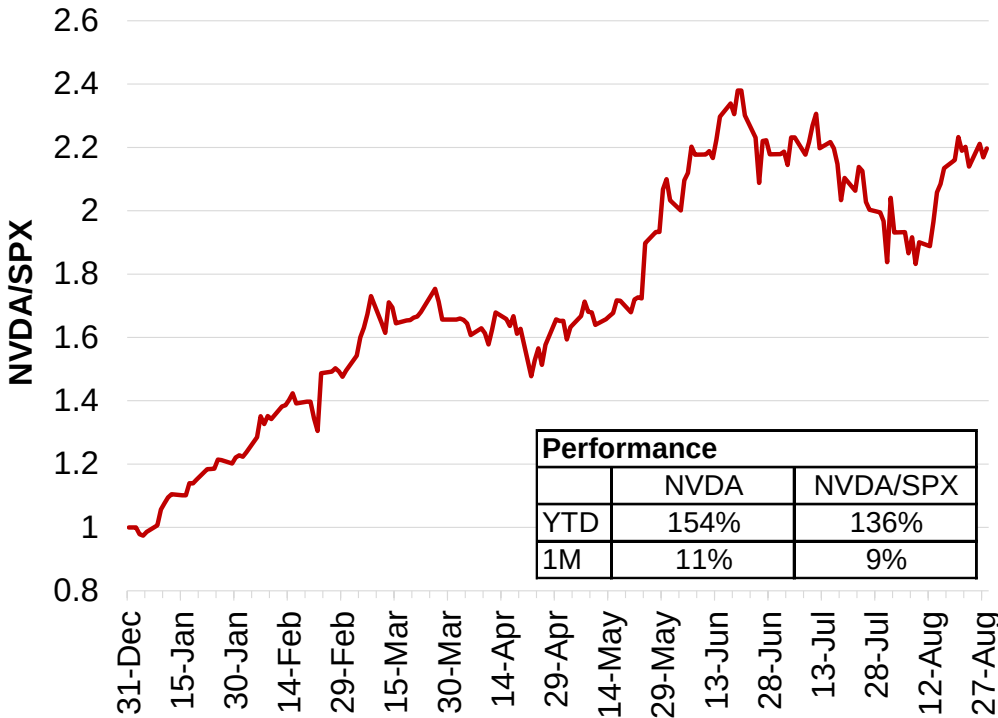
Source: Company Data, Evercore ISI Research, FactSet

NVDA share price increased 154% YTD, outperforming SPX by 136%

NVDA's DOI peaked in JanQ-23 at 225 days and have since declined to 93 days.

NVDA's P/E of 37x is at the 8-yr median. NVDA P/E relative to SPX is at 1.8x, a 13% discount to the 8-yr median of 2.0x

Figure 13: NVDA Relative Performance At The Level of 6 May 2024



Source: Company Data, Evercore ISI Research

## NVDA Bull, Bear, Base Case Scenario Analysis:

Figure 14: NVDA Bull, Bear and Base Case Scenario Analysis

| Bear Case - \$95, -24%                                                                                                                                                                                                                                                                                                                          | Base Case - \$150, 19%                                                                                                                                                                                                                                                                                                                                     | Bull Case - \$192, 53%                                                                                                                                                                                                                                                                                                                                                |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 33x PE, Applied to C30 Earnings, discounted back 5yrs                                                                                                                                                                                                                                                                                           | 30x PE, Applied to C30 Earnings, discounted back 5yrs                                                                                                                                                                                                                                                                                                      | 30x PE, Applied to C30 Earnings, discounted back 5yrs                                                                                                                                                                                                                                                                                                                 |
| <p>Datacenter hardware revs slow down to 13% CAGR from C23-C30</p> <p>Ecosystem (software and services) for AI market grows to similar market size as hardware (INTC+MSFT case study)</p> <p>Omniverse opportunity at \$45bn by C2030, &lt;10% mkt share</p> <p>Gaming and Pro Viz growing at 10% CAGR in C24-C30, Auto at 15% from C23-C30</p> | <p>Datacenter hardware market grows at 15% CAGR, NVDA's revs grow at 22% CAGR</p> <p>Ecosystem (software and services) for AI market grows to similar market size as hardware (INTC+MSFT case study)</p> <p>Omniverse opportunity at \$45bn by C2030, 33% mkt share</p> <p>Gaming and Pro Viz growing at 15% CAGR in C24-C30, Auto at 25% from C23-C30</p> | <p>Datacenter hardware grows at 17% CAGR from C23-C30, NVDA's DC HW revs grow at 26% CAGR</p> <p>Ecosystem (software and services) for AI market grows to similar market size as hardware (INTC+MSFT case study)</p> <p>Omniverse opportunity at \$45bn by C2030, 45% mkt share</p> <p>Gaming and Pro Viz growing at 15% CAGR in C24-C30, Auto at 30% from C23-30</p> |

Source: Company Data, Evercore ISI Research

Figure 15: NVDA's C2030 Earnings Power & Sensitivity Analysis

| Income Statement                                                  | CY24E<br>EVR ISI | C2030E (6yrs) |               |                | NVDA<br>Description                                                                                                                              |
|-------------------------------------------------------------------|------------------|---------------|---------------|----------------|--------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                                   |                  | Bear          | Base          | Bull           |                                                                                                                                                  |
| Data Center - Processors                                          | 22               | 45            | 74            | 89             | Data center processors grew at 15% CAGR<br>Consistent with the Apple and INTC+MSFT+DELL case studies, processors 25-40% of total ecosystem value |
| Data Center - Ecosystem (SW, HW, networking, Omniverse, services) | 88               | 157           | 260           | 312            |                                                                                                                                                  |
| <b>Data Center Total</b>                                          | <b>110</b>       | <b>201</b>    | <b>334</b>    | <b>401</b>     | Growing at 15% CAGR<br>Growing at 15% CAGR<br>25% CAGR                                                                                           |
| Gaming                                                            | 11               | 20            | 26            | 29             |                                                                                                                                                  |
| Pro Visualization                                                 | 2                | 3             | 4             | 6              |                                                                                                                                                  |
| Auto                                                              | 1                | 3             | 6             | 9              | Stays above 70%<br>OpEx growing at 1/2 rate of revenues                                                                                          |
| <b>Revenue, \$bn</b>                                              | <b>125</b>       | <b>228</b>    | <b>370</b>    | <b>444</b>     |                                                                                                                                                  |
| CAGR                                                              |                  | 11%           | 20%           | 24%            |                                                                                                                                                  |
| <b>GM, %</b>                                                      | <b>75%</b>       | <b>70%</b>    | <b>72%</b>    | <b>75%</b>     |                                                                                                                                                  |
| Op Income, \$bn                                                   | 82               | 141           | 245           | 315            |                                                                                                                                                  |
| <b>OpM, %</b>                                                     | <b>66%</b>       | <b>62%</b>    | <b>66%</b>    | <b>71%</b>     |                                                                                                                                                  |
| Int Exp & Other, \$bn                                             | 1                | 1             | 1             | 1              |                                                                                                                                                  |
| Tax Rate, %                                                       | 17%              | 19%           | 19%           | 19%            |                                                                                                                                                  |
| <b>Net Income, \$bn</b>                                           | <b>69</b>        | <b>115</b>    | <b>199</b>    | <b>256</b>     |                                                                                                                                                  |
| Share Count, mn                                                   | 24,784           | 24,785        | 24,787        | 24,787         |                                                                                                                                                  |
| <b>EPS</b>                                                        | <b>\$2.80</b>    | <b>\$4.65</b> | <b>\$8.05</b> | <b>\$10.33</b> |                                                                                                                                                  |
| NTM PE                                                            |                  | 33.0x         | 30.0x         | 30.0x          |                                                                                                                                                  |
| PT, 6yrs out                                                      |                  | \$153         | \$241         | \$310          |                                                                                                                                                  |
| Disc factor (10% 5yrs)                                            |                  | 0.62          | 0.62          | 0.62           |                                                                                                                                                  |
| <b>PT</b>                                                         |                  | <b>\$95</b>   | <b>\$150</b>  | <b>\$192</b>   |                                                                                                                                                  |

Source: Company Data, Evercore ISI Research

Figure 16: NVDA Income Statement

| NVIDIA                                     | FY2023       |              |              |              | FY2024       |              |              |              | FY2025       |              |               |               | FY2026        |               |               |               | FY2023   | FY2024   | FY2025E   | FY2026E   |
|--------------------------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|---------------|---------------|---------------|---------------|---------------|---------------|----------|----------|-----------|-----------|
| \$ in millions                             | Apr-22<br>1Q | Jul-22<br>2Q | Oct-22<br>3Q | Jan-23<br>4Q | Apr-23<br>1Q | Jul-23<br>2Q | Oct-23<br>3Q | Jan-24<br>4Q | Apr-24<br>1Q | Jul-24<br>2Q | Oct-24<br>3QE | Jan-25<br>4QE | Apr-25<br>1QE | Jul-25<br>2QE | Oct-25<br>3QE | Jan-26<br>4QE | CY2022   | CY2023   | CY2024E   | CY2025E   |
| Revenues                                   | \$8,288      | \$6,704      | \$5,931      | \$6,051      | \$7,192      | \$13,507     | \$18,120     | \$22,103     | \$26,044     | \$30,040     | \$33,004      | \$35,756      | \$37,894      | \$40,851      | \$43,508      | \$45,615      | \$26,974 | \$60,922 | \$124,843 | \$167,868 |
| QoQ                                        | 8.4%         | -19.1%       | -11.5%       | 2.0%         | 18.9%        | 87.8%        | 34.2%        | 22.0%        | 17.8%        | 15.3%        | 9.9%          | 8.3%          | 6.0%          | 7.8%          | 6.5%          | 4.8%          |          |          |           |           |
| YoY                                        | 46.4%        | 3.0%         | -16.5%       | -20.8%       | -13.2%       | 101.5%       | 205.5%       | 265.3%       | 262.1%       | 122.4%       | 82.1%         | 61.8%         | 45.5%         | 36.0%         | 31.8%         | 27.6%         | 0.2%     | 125.9%   | 104.9%    | 34.5%     |
| Cost of Goods                              | 2,763        | 3,668        | 2,634        | 2,082        | 2,417        | 3,924        | 4,575        | 5,189        | 5,520        | 7,351        | 8,449         | 9,833         | 10,459        | 11,234        | 11,747        | 12,042        | 11,147   | 16,105   | 31,153    | 45,482    |
| Non-GAAP Gross Profit (incl SBC)           | \$5,525      | \$3,036      | \$3,297      | \$3,969      | \$4,775      | \$9,583      | \$13,545     | \$16,914     | \$20,524     | \$22,689     | \$24,555      | \$25,923      | \$27,435      | \$29,617      | \$31,761      | \$33,572      | \$15,827 | \$44,817 | \$93,691  | \$122,386 |
| Non-GAAP Gross Profit (excl SBC)           |              |              |              |              |              |              |              |              |              |              |               |               |               |               |               |               |          |          |           |           |
| GM (incl SBC)-GAAP                         | 66.7%        | 45.3%        | 55.6%        | 65.6%        | 66.4%        | 70.9%        | 74.8%        | 76.5%        | 78.8%        | 75.5%        | 74.4%         | 72.5%         | 72.4%         | 72.5%         | 73.0%         | 73.6%         | 58.7%    | 73.6%    | 75.0%     | 72.9%     |
| GM (excl SBC)-Non-GAAP                     | 67.1%        | 45.9%        | 56.1%        | 66.1%        | 66.8%        | 71.2%        | 75.0%        | 76.7%        | 78.9%        | 75.7%        | 75.0%         | 73.0%         | 72.9%         | 72.9%         | 73.4%         | 74.0%         | 59.2%    | 73.8%    | 75.2%     | 73.0%     |
| R&D                                        | 1,618        | 1,824        | 1,945        | 1,951        | 1,875        | 2,040        | 2,294        | 2,465        | 2,720        | 3,090        | 3,340         | 3,465         | 3,625         | 3,785         | 3,945         | 4,105         | 7,338    | 8,674    | 12,615    | 15,460    |
| SG&A                                       | 530          | 536          | 561          | 533          | 583          | 609          | 673          | 693          | 756          | 816          | 960           | 985           | 1,074         | 1,136         | 1,173         | 1,212         | 2,160    | 2,558    | 3,517     | 4,596     |
| Total Operating Expenses (incl SBC)-GAAP   | 2,148        | 2,360        | 2,506        | 2,484        | 2,458        | 2,649        | 2,967        | 3,158        | 3,476        | 3,906        | 4,300         | 4,450         | 4,699         | 4,921         | 5,118         | 5,317         | 9,498    | 11,232   | 16,132    | 20,056    |
| Total Operating Expenses (Ex-SBC)-Non-GAAP | 1,608        | 1,749        | 1,793        | 1,775        | 1,750        | 1,838        | 2,026        | 2,210        | 2,501        | 2,792        | 3,000         | 3,150         | 3,399         | 3,621         | 3,818         | 4,017         | 6,925    | 7,824    | 11,443    | 14,856    |
| Operating Income - GAAP                    | \$3,377      | \$676        | \$791        | \$1,485      | \$2,317      | \$6,934      | \$10,578     | \$13,756     | \$17,048     | \$18,783     | \$20,255      | \$21,473      | \$22,736      | \$24,696      | \$26,643      | \$28,256      | \$6,329  | \$33,585 | \$77,559  | \$102,330 |
| Operating Income (ex SBC) - non-GAAP       | \$3,955      | \$1,325      | \$1,536      | \$2,224      | \$3,052      | \$7,776      | \$11,557     | \$14,749     | \$18,059     | \$19,937     | \$21,591      | \$22,809      | \$24,072      | \$26,032      | \$27,979      | \$29,592      | \$9,040  | \$37,134 | \$82,396  | \$107,674 |
| Operating Margin                           | 40.7%        | 10.1%        | 13.3%        | 24.5%        | 32.2%        | 51.3%        | 58.4%        | 62.2%        | 65.5%        | 62.5%        | 61.4%         | 60.1%         | 60.0%         | 60.5%         | 61.2%         | 61.9%         | 23.5%    | 55.1%    | 62.1%     | 61.0%     |
| Incremental OM                             | 39%          | 171%         | -15%         | 578%         | 73%          | 73%          | 79%          | 80%          | 84%          | 43%          | 50%           | 44%           | 59%           | 66%           | 73%           | 77%           | -7263%   | 80%      | 69%       | 58%       |
| Interest Income                            | 18           | 46           | 88           | 115          | 150          | 187          | 234          | 294          | 359          | 444          | 411           | 400           | 450           | 490           | 530           | 580           | 267      | 865      | 1,614     | 2,050     |
| Interest Expense                           | (68)         | (65)         | (65)         | (65)         | (66)         | (65)         | (63)         | (63)         | (64)         | (61)         | (61)          | (61)          | (58)          | (58)          | (58)          | (58)          | (263)    | (257)    | (247)     | (232)     |
| Other Income (Expense)                     | 5            | 3            | 1            | (7)          | 0            | (2)          | 4            | 1            | 7            | (3)          | 0             | 0             | 0             | 0             | 0             | 0             | 2        | 3        | 4         | 0         |
| Total Interest/Other Income (Exp)          | (45)         | (16)         | 24           | 43           | 84           | 120          | 175          | 232          | 302          | 380          | 350           | 339           | 392           | 432           | 472           | 522           | 6        | 611      | 1,371     | 1,818     |
| Profit Before Taxes                        | 3332         | 660          | 815          | 1528         | 2401         | 7054         | 10753        | 13988        | 17350        | 19163        | 20605         | 21812         | 23128         | 25128         | 27115         | 28778         | 6335     | 34196    | 78930     | 104148    |
| Taxes, %                                   | 409          | (49)         | 30           | 19           | 283          | 996          | 1471         | 1993         | 2981         | 3169         | 3503          | 3708          | 3932          | 4272          | 4609          | 4892          | 409      | 4,744    | 13,361    | 17,705    |
| Net Income - Pro Forma                     | \$2,923      | \$709        | \$786        | \$1,509      | \$2,118      | \$6,058      | \$9,282      | \$11,995     | \$14,369     | \$15,994     | \$17,102      | \$18,104      | \$19,196      | \$20,856      | \$22,505      | \$23,886      | \$5,926  | \$29,452 | \$65,569  | \$86,443  |
| Net Income - Non-GAAP                      | \$3,443      | \$1,293      | \$1,456      | \$2,174      | \$2,713      | \$6,740      | \$10,020     | \$12,839     | \$15,238     | \$16,952     | \$18,211      | \$19,213      | \$20,305      | \$21,965      | \$23,614      | \$24,994      | \$8,366  | \$32,312 | \$69,614  | \$90,878  |
| EPS - Pro Forma (Includes SBC)             | \$0.12       | \$0.03       | \$0.03       | \$0.06       | \$0.09       | \$0.24       | \$0.37       | \$0.48       | \$0.58       | \$0.64       | \$0.69        | \$0.73        | \$0.78        | \$0.85        | \$0.93        | \$0.99        | \$0.24   | \$1.18   | \$2.65    | \$3.55    |
| EPS - PF Ex SBC and Amortization           | \$0.14       | \$0.05       | \$0.06       | \$0.09       | \$0.11       | \$0.27       | \$0.40       | \$0.52       | \$0.61       | \$0.68       | \$0.74        | \$0.78        | \$0.83        | \$0.90        | \$0.97        | \$1.03        | \$0.33   | \$1.30   | \$2.81    | \$3.73    |
| EPS - GAAP                                 | \$0.06       | \$0.03       | \$0.03       | \$0.06       | \$0.08       | \$0.25       | \$0.37       | \$0.49       | \$0.60       | \$0.67       | \$0.68        | \$0.73        | \$0.78        | \$0.85        | \$0.92        | \$0.98        | \$0.17   | \$1.19   | \$2.68    | \$3.53    |
| Dividend                                   | \$0.00       | \$0.00       | \$0.00       | \$0.00       | \$0.00       | \$0.00       | \$0.00       | \$0.00       | \$0.00       | \$0.01       | \$0.01        | \$0.01        | \$0.01        | \$0.01        | \$0.01        | \$0.01        | \$0.00   | \$0.02   | \$0.03    | \$0.04    |
| Fully Diluted Shares                       | 25,370       | 25,160       | 24,990       | 24,770       | 24,900       | 24,990       | 24,940       | 24,900       | 24,890       | 24,848       | 24,748        | 24,648        | 24,538        | 24,428        | 24,308        | 24,188        | 25,073   | 24,933   | 24,784    | 24,366    |
| Percent of Sales                           |              |              |              |              |              |              |              |              |              |              |               |               |               |               |               |               |          |          |           |           |
| R&D                                        | 19.5%        | 27.2%        | 32.8%        | 32.2%        | 26.1%        | 15.1%        | 12.7%        | 11.2%        | 10.4%        | 10.3%        | 10.1%         | 9.7%          | 9.6%          | 9.3%          | 9.1%          | 9.0%          | 27.2%    | 14.2%    | 10.1%     | 9.2%      |
| SG&A                                       | 6.4%         | 8.0%         | 9.5%         | 8.8%         | 8.1%         | 4.5%         | 3.7%         | 3.1%         | 2.9%         | 2.7%         | 2.9%          | 2.8%          | 2.8%          | 2.8%          | 2.7%          | 2.7%          | 8.0%     | 4.2%     | 2.8%      | 2.7%      |
| Taxes                                      | 12.3%        | -7.4%        | 3.6%         | 9.0%         | 9.0%         | 9.0%         | 14.6%        | 15.0%        | 14.0%        | 17.0%        | 17.0%         | 17.0%         | 17.0%         | 17.0%         | 17.0%         | 17.0%         | 6.5%     | 13.9%    | 16.9%     | 17.0%     |
| Net Income                                 | 35.3%        | 10.6%        | 13.2%        | 24.9%        | 29.4%        | 44.9%        | 51.2%        | 54.3%        | 55.2%        | 53.2%        | 51.8%         | 50.6%         | 50.7%         | 51.1%         | 51.7%         | 52.4%         | 22.0%    | 48.3%    | 52.5%     | 51.5%     |
| Sequential Change                          |              |              |              |              |              |              |              |              |              |              |               |               |               |               |               |               |          |          |           |           |
| R&D                                        | 10.4%        | 12.7%        | 6.6%         | 0.3%         | -3.9%        | 8.8%         | 12.5%        | 7.5%         | 10.3%        | 13.6%        | 8.1%          | 3.7%          | 4.6%          | 4.4%          | 4.2%          | 4.1%          | 39.3%    | 18.2%    | 45.4%     | 22.6%     |
| SG&A                                       | 7.5%         | 1.1%         | 4.7%         | -5.0%        | 9.4%         | 4.5%         | 10.5%        | 3.0%         | 9.1%         | 7.9%         | 17.6%         | 2.6%          | 9.1%          | 5.8%          | 3.3%          | 3.3%          | 15.3%    | 18.4%    | 37.5%     | 30.7%     |

Source: Company Data, Evercore ISI Research



Figure 17: NVDA Balance Sheet

| NVIDIA                                 | FY 2023      |              |              |              | FY 2024      |              |              |              | FY 2025      |              |               |               | FY 2026       |               |               |               |                  |                  |                    |                    |
|----------------------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|---------------|---------------|---------------|---------------|---------------|---------------|------------------|------------------|--------------------|--------------------|
| \$ in millions                         | Apr-22<br>1Q | Jul-22<br>2Q | Oct-22<br>3Q | Jan-23<br>4Q | Apr-23<br>1Q | Jul-23<br>2Q | Oct-23<br>3Q | Jan-24<br>4Q | Apr-24<br>1Q | Jul-24<br>2Q | Oct-24<br>3QE | Jan-25<br>4QE | Apr-25<br>1QE | Jul-25<br>2QE | Oct-25<br>3QE | Jan-26<br>4QE | FY2023<br>CY2022 | FY2024<br>CY2023 | FY2025E<br>CY2024E | FY2026E<br>CY2025E |
| BALANCE SHEET                          |              |              |              |              |              |              |              |              |              |              |               |               |               |               |               |               |                  |                  |                    |                    |
| Assets                                 |              |              |              |              |              |              |              |              |              |              |               |               |               |               |               |               |                  |                  |                    |                    |
| Cash & Equiv. + ST Investments         | \$20,338     | \$17,037     | \$13,143     | \$13,296     | \$15,320     | \$16,023     | \$18,281     | \$25,984     | \$31,438     | \$34,800     | \$42,680      | \$51,553      | \$62,116      | \$73,893      | \$87,569      | \$102,973     | \$13,296         | \$25,984         | \$51,553           | \$102,973          |
| Accounts Receivable                    | 5438         | 5317         | 4908         | 3827         | 4080         | 7066         | 8309         | 9999         | 12365        | 14132        | 15526         | 16821         | 17827         | 19218         | 20468         | 21459         | \$3,827          | \$9,999          | \$16,821           | \$21,459           |
| Inventory                              | 3163         | 3889         | 4454         | 5159         | 4611         | 4319         | 4779         | 5282         | 5864         | 6675         | 7651          | 8904          | 9471          | 10173         | 10638         | 10905         | \$5,159          | \$5,282          | \$8,904            | \$10,905           |
| Other                                  | 636          | 1175         | 718          | 791          | 872          | 1389         | 1289         | 3080         | 4062         | 4026         | 4026          | 4026          | 4026          | 4026          | 4026          | 4026          | \$791            | \$3,080          | \$4,026            | \$4,026            |
| Total Current Assets                   | \$29,575     | \$27,418     | \$23,223     | \$23,073     | \$24,883     | \$28,797     | \$32,658     | \$44,345     | \$53,729     | \$59,633     | \$69,883      | \$81,304      | \$93,439      | \$107,310     | \$122,700     | \$139,363     | \$23,073         | \$44,345         | \$81,304           | \$139,363          |
| Property and Equipment                 | 2916         | 3233         | 3774         | 3807         | 3740         | 3799         | 3844         | 3914         | 4006         | 4885         | 5429          | 5973          | 6517          | 7061          | 7605          | 8149          | \$3,807          | \$3,914          | \$5,973            | \$8,149            |
| Goodwill & Intangible Assets           | 6576         | 6408         | 6222         | 6048         | 5971         | 5825         | 5681         | 5542         | 5439         | 6178         | 6178          | 6178          | 6178          | 6178          | 6178          | 6178          | \$6,048          | \$5,542          | \$6,178            | \$6,178            |
| Other                                  | 6145         | 6417         | 7269         | 8254         | 9866         | 11134        | 11965        | 11927        | 13898        | 14531        | 14531         | 14531         | 14531         | 14531         | 14531         | 14531         | \$8,254          | \$11,927         | \$14,531           | \$14,531           |
| Total Assets                           | \$45,212     | \$43,476     | \$40,488     | \$41,182     | \$44,460     | \$49,555     | \$54,148     | \$65,728     | \$77,072     | \$85,227     | \$96,021      | \$107,986     | \$120,665     | \$135,080     | \$151,014     | \$168,221     | \$41,182         | \$65,728         | \$107,986          | \$168,221          |
| Liabilities                            |              |              |              |              |              |              |              |              |              |              |               |               |               |               |               |               |                  |                  |                    |                    |
| Account Payable                        | \$1,999      | \$2,421      | \$1,491      | \$1,193      | \$1,141      | \$1,929      | \$2,380      | \$2,699      | \$2,715      | \$3,680      | \$4,230       | \$4,922       | \$5,236       | \$5,624       | \$5,881       | \$6,029       | \$1,193          | \$2,699          | \$4,922            | \$6,029            |
| Accrued Liabilities                    | 3,563        | 3,903        | 4,115        | 4,120        | 4,869        | 7,156        | 5,472        | 6,682        | 11,258       | 10,289       | 10,289        | 10,289        | 10,289        | 10,289        | 10,289        | 10,289        | \$4,120          | \$6,682          | \$10,289           | \$10,289           |
| Current Portion of Notes Payable       |              | 1,249        | 1,249        | 1,250        | 1,250        | 1,249        | 1,249        | 1,250        | 1,250        | 0            |               |               |               |               |               |               | 1,250            | 1,250            |                    |                    |
| Total Current Liabilities              | \$5,562      | \$7,573      | \$6,855      | \$6,563      | \$7,260      | \$10,334     | \$9,101      | \$10,631     | \$15,223     | \$13,969     | \$14,519      | \$15,211      | \$15,525      | \$15,913      | \$16,170      | \$16,318      | \$6,563          | \$10,631         | \$15,211           | \$16,318           |
| Long Term Debt (Convert)               | \$10,947     | \$9,700      | \$9,701      | \$9,703      | \$9,704      | \$8,456      | \$8,457      | \$8,459      | \$8,460      | \$8,461      | \$8,461       | \$8,461       | \$8,461       | \$8,461       | \$8,461       | \$8,461       | \$9,703          | \$8,459          | \$8,461            | \$8,461            |
| Capital Lease, net of current          | 752          | 743          | 798          | 902          | 939          | 1,041        | 1,091        | 1,119        | 1,281        | 1,304        | 1,304         | 1,304         | 1,304         | 1,304         | 1,304         | 1,304         | \$902            | \$1,119          | \$1,304            | \$1,304            |
| Other                                  | 1,631        | 1,609        | 1,785        | 1,913        | 2,037        | 2,223        | 2,234        | 2,541        | 2,966        | 3,336        | 3,336         | 3,336         | 3,336         | 3,336         | 3,336         | 3,336         | \$1,913          | \$2,541          | \$3,336            | \$3,336            |
| Total Liabilities                      | \$18,892     | \$19,625     | \$19,139     | \$19,081     | \$19,940     | \$22,054     | \$20,883     | \$22,750     | \$27,930     | \$27,070     | \$27,620      | \$28,312      | \$28,626      | \$29,014      | \$29,271      | \$29,419      | \$19,081         | \$22,750         | \$28,312           | \$29,419           |
| Shareholders' Equity                   |              |              |              |              |              |              |              |              |              |              |               |               |               |               |               |               |                  |                  |                    |                    |
| Convertible Debt Conversion Obligation |              |              |              |              |              |              |              |              |              |              |               |               |               |               |               |               |                  |                  |                    |                    |
| Shareholders' Equity                   | \$26,320     | \$23,851     | \$21,349     | \$22,101     | \$24,520     | \$27,501     | \$33,265     | \$42,978     | \$49,142     | \$58,157     | \$68,401      | \$79,674      | \$92,040      | \$106,066     | \$121,743     | \$138,802     | \$22,101         | \$42,978         | \$79,674           | \$138,802          |
| Total Shareholders' Equity             | \$26,320     | \$23,851     | \$21,349     | \$22,101     | \$24,520     | \$27,501     | \$33,265     | \$42,978     | \$49,142     | \$58,157     | \$68,401      | \$79,674      | \$92,040      | \$106,066     | \$121,743     | \$138,802     | \$22,101         | \$42,978         | \$79,674           | \$138,802          |
| Total Liability and Equity             | \$45,212     | \$43,476     | \$40,488     | \$41,182     | \$44,460     | \$49,555     | \$54,148     | \$65,728     | \$77,072     | \$85,227     | \$96,021      | \$107,986     | \$120,665     | \$135,080     | \$151,014     | \$168,221     | \$41,182         | \$65,728         | \$107,986          | \$168,221          |

Source: Company Data, Evercore ISI Research



Figure 18: NVDA Cash Flow Statement

| NVIDIA                                                            | FY 2023          |                  |                  |                  | FY 2024        |                  |                  |                  | FY 2025          |                   |                  |                  | FY 2026          |                  |                  |                  | FY2023            | FY2024            | FY2025E           | FY2026E           |
|-------------------------------------------------------------------|------------------|------------------|------------------|------------------|----------------|------------------|------------------|------------------|------------------|-------------------|------------------|------------------|------------------|------------------|------------------|------------------|-------------------|-------------------|-------------------|-------------------|
| \$ in millions                                                    | Apr-22<br>1Q     | Jul-22<br>2Q     | Oct-22<br>3Q     | Jan-23<br>4Q     | Apr-23<br>1Q   | Jul-23<br>2Q     | Oct-23<br>3Q     | Jan-24<br>4Q     | Apr-24<br>1Q     | Jul-24<br>2Q      | Oct-24<br>3QE    | Jan-25<br>4QE    | Apr-25<br>1QE    | Jul-25<br>2QE    | Oct-25<br>3QE    | Jan-26<br>4QE    | CY2022            | CY2023            | CY2024E           | CY2025E           |
| <b>CASH FLOW</b>                                                  |                  |                  |                  |                  |                |                  |                  |                  |                  |                   |                  |                  |                  |                  |                  |                  |                   |                   |                   |                   |
| <b>Cash Flows from Operations</b>                                 |                  |                  |                  |                  |                |                  |                  |                  |                  |                   |                  |                  |                  |                  |                  |                  |                   |                   |                   |                   |
| Net income                                                        | \$1,618          | \$656            | \$680            | 1,414            | \$2,043        | \$6,188          | \$9,243          | 12,285           | \$14,881         | \$16,599          | \$16,942         | \$17,969         | \$19,061         | \$20,721         | \$22,370         | \$23,751         | \$4,368           | \$29,759          | \$66,391          | \$85,903          |
| Stock-based compensation expense                                  | 578              | 648              | 745              | 738              | 735            | 842              | 979              | 993              | 1011             | 1154              | 1336             | 1336             | 1336             | 1336             | 1336             | 1336             | 2,709             | 3,549             | 4,837             | 5,344             |
| Depreciation and amortization                                     | 334              | 378              | 406              | 426              | 384            | 365              | 372              | 387              | 410              | 433               | 433              | 433              | 433              | 433              | 433              | 433              | 1,544             | 1,508             | 1,709             | 1,732             |
| Other                                                             | 851              | (441)            | (566)            | (617)            | (1155)         | (875)            | (526)            | (369)            | (1791)           | (2036)            |                  |                  |                  |                  |                  |                  | (773)             | (2,925)           | (3,827)           | 0                 |
| <i>Changes in Operating Assets and Liabilities:</i>               |                  |                  |                  |                  |                |                  |                  |                  |                  |                   |                  |                  |                  |                  |                  |                  |                   |                   |                   |                   |
| Accounts receivable                                               | (788)            | 120              | 410              | 1,081            | (252)          | (2986)           | (1243)           | (1,690)          | (2366)           | (1767)            | (1394)           | (1295)           | (1006)           | (1391)           | (1250)           | (991)            | 0                 | 0                 | 0                 | 0                 |
| Inventories                                                       | (560)            | (725)            | (563)            | (706)            | 566            | 296              | (457)            | (503)            | (577)            | (803)             | (976)            | (1253)           | (567)            | (702)            | (465)            | (267)            | (2,554)           | (98)              | (3,609)           | (2,001)           |
| Prepaid expenses and other current assets                         | (1261)           | (293)            | 247              | (210)            | (215)          | (376)            | 254              | (1,184)          | (726)            | 714               |                  |                  |                  |                  |                  |                  | (1,517)           | (1,521)           | (12)              | 0                 |
| Deposits and other assets                                         |                  |                  |                  |                  |                |                  |                  |                  |                  |                   |                  |                  |                  |                  |                  |                  | 0                 | 0                 | 0                 | 0                 |
| Accounts payable                                                  | 255              | 304              | (917)            | (193)            | 11             | 777              | 461              | 281              | (22)             | 823               | 550              | 693              | 313              | 388              | 257              | 148              | (551)             | 1,530             | 2,043             | 1,106             |
| Accrued liabilities and other long-term liabilities               | 704              | 623              | (50)             | 316              | 794            | 2117             | (1750)           | 1,377            | 4525             | (628)             | (628)            | (628)            | (628)            | (628)            | (628)            | (628)            | 1,593             | 2,538             | 2,641             | (2,512)           |
| <b>Net Cash from Operations</b>                                   | <b>\$1,731</b>   | <b>\$1,270</b>   | <b>\$392</b>     | <b>\$2,249</b>   | <b>\$2,911</b> | <b>\$6,348</b>   | <b>\$7,333</b>   | <b>\$11,577</b>  | <b>\$15,345</b>  | <b>\$14,489</b>   | <b>\$16,262</b>  | <b>\$17,255</b>  | <b>\$18,943</b>  | <b>\$20,157</b>  | <b>\$22,053</b>  | <b>\$23,781</b>  | <b>\$5,642</b>    | <b>\$28,169</b>   | <b>\$63,351</b>   | <b>\$84,934</b>   |
| <b>Cash Flow from Investing</b>                                   |                  |                  |                  |                  |                |                  |                  |                  |                  |                   |                  |                  |                  |                  |                  |                  |                   |                   |                   |                   |
| PP&E                                                              | (\$361)          | (433)            | (530)            | (509)            | (\$248)        | (289)            | (278)            | (253)            | (\$369)          | (977)             | (\$977)          | (\$977)          | (\$977)          | (\$977)          | (\$977)          | (\$977)          | (\$1,833)         | (\$1,068)         | (\$3,300)         | (\$3,908)         |
| Acquisition of Business                                           | (36)             | (13)             | 0                |                  | (83)           | 0                |                  |                  |                  |                   |                  |                  |                  |                  |                  |                  | (\$49)            | (\$83)            | (\$279)           | \$0               |
| Purchases & Proceeds of Sales of Marketable Securities            | 3009             | 2064             | 3678             | 505              | (510)          | (158)            | (2891)           | (5856)           | (5324)           | (1929)            |                  |                  |                  |                  |                  |                  | \$9,256           | (\$9,415)         | (\$7,253)         | \$0               |
| Other                                                             |                  |                  |                  |                  |                |                  |                  |                  |                  |                   |                  |                  |                  |                  |                  |                  | \$0               | \$0               | \$0               | \$0               |
| <b>Net Cash from Investing</b>                                    | <b>\$2,612</b>   | <b>\$1,618</b>   | <b>\$3,148</b>   | <b>(\$4)</b>     | <b>(\$841)</b> | <b>(\$447)</b>   | <b>(\$3,169)</b> | <b>(\$6,109)</b> | <b>(\$5,693)</b> | <b>(\$3,185)</b>  | <b>(\$977)</b>   | <b>(\$977)</b>   | <b>(\$977)</b>   | <b>(\$977)</b>   | <b>(\$977)</b>   | <b>(\$977)</b>   | <b>\$7,374</b>    | <b>(\$10,566)</b> | <b>(\$10,832)</b> | <b>(\$3,908)</b>  |
| <b>Cash Flows from Financing</b>                                  |                  |                  |                  |                  |                |                  |                  |                  |                  |                   |                  |                  |                  |                  |                  |                  |                   |                   |                   |                   |
| Proceeds from (repurchase of) of common                           |                  |                  |                  |                  |                |                  |                  |                  |                  |                   |                  |                  |                  |                  |                  |                  | \$0               | \$0               | \$0               | \$0               |
| Proceeds from issuance of common stock under employee stock plans | 204              | 1                | 143              | 5                | 246            | 1                | 156              |                  | 285              | 0                 |                  |                  |                  |                  |                  |                  | 353               | 403               | 285               | 0                 |
| Proceeds from Debt Issuance                                       |                  |                  |                  |                  |                | (1,250)          |                  |                  |                  | (1,250)           |                  |                  |                  |                  |                  |                  | 0                 | (1,250)           | (1,250)           | 0                 |
| Excess Tax Benefit from ESO                                       | (532)            | (305)            | (294)            | (344)            | (507)          | (672)            | (764)            | (841)            | (1,752)          | (1,637)           |                  |                  |                  |                  |                  |                  | (1,475)           | (2,784)           | (3,389)           | 0                 |
| Dividends                                                         | (100)            | (100)            | (100)            | (98)             | (99)           | (99)             | (99)             | (99)             | (98)             | (246)             |                  |                  |                  |                  |                  |                  | (398)             | (396)             | (838)             | (975)             |
| Repurchase of Common Stock                                        | (1,996)          | (3,345)          | (3,485)          | (1,212)          | 0              | (3,067)          | (3,806)          | (2,660)          | (7,740)          | (7,158)           | (7,158)          | (7,158)          | (7,158)          | (7,158)          | (7,158)          | (7,158)          | (10,038)          | (9,533)           | (29,214)          | (28,632)          |
| Other                                                             | (22)             | (13)             | (17)             | (7)              | (20)           | (11)             | (14)             | (29)             | (40)             | (29)              |                  |                  |                  |                  |                  |                  | (59)              | (74)              | (69)              | 0                 |
| <b>Net Cash from Financing</b>                                    | <b>(\$2,446)</b> | <b>(\$3,762)</b> | <b>(\$3,753)</b> | <b>(\$1,656)</b> | <b>(\$380)</b> | <b>(\$5,098)</b> | <b>(\$4,527)</b> | <b>(\$3,629)</b> | <b>(\$9,345)</b> | <b>(\$10,320)</b> | <b>(\$7,405)</b> | <b>(\$7,404)</b> | <b>(\$7,403)</b> | <b>(\$7,402)</b> | <b>(\$7,401)</b> | <b>(\$7,400)</b> | <b>(\$11,617)</b> | <b>(\$13,634)</b> | <b>(\$34,475)</b> | <b>(\$29,607)</b> |
| Cash and Cash eqv at beginning                                    | 1989             | 3886             | 3012             | 2799             | 3388           | 5078             | 5881             | 5518             | 7357             | 7664              | 8648             | 16528            | 25401            | 35963            | 47741            | 61416            | (\$2,659)         | (\$1,260)         | \$2,709           | \$20,753          |
| Net Increase in Cash and Cash eqv.                                | 1897             | (874)            | (213)            | 589              | 1690           | 803              | (363)            | 1839             | 307              | 984               | 7880             | 8873             | 10562            | 11778            | 13675            | 15404            | 1,399             | 3,969             | 18,044            | 51,419            |
| Cash and Cash eqv at end                                          | \$3,886          | \$3,012          | \$2,799          | \$3,388          | \$5,078        | \$5,881          | \$5,518          | \$7,357          | \$7,664          | \$8,648           | \$16,528         | \$25,401         | \$35,963         | \$47,741         | \$61,416         | \$76,820         | (1,260)           | 2,709             | 20,753            | 72,172            |
| Marketable Securities                                             | \$4              | \$4              | \$4              | \$4              | \$4            | \$4              | \$4              | \$4              | \$4              | \$4               | \$4              | \$4              | \$4              | \$4              | \$4              | \$4              | 4                 | 4                 | 4                 | 4                 |
| <b>Total Cash and Cash eqv plus MS at end</b>                     | <b>\$3,890</b>   | <b>\$3,016</b>   | <b>\$2,803</b>   | <b>\$3,392</b>   | <b>\$5,082</b> | <b>\$5,885</b>   | <b>\$5,522</b>   | <b>\$7,361</b>   | <b>\$7,668</b>   | <b>\$8,652</b>    | <b>\$16,532</b>  | <b>\$25,405</b>  | <b>\$35,967</b>  | <b>\$47,745</b>  | <b>\$61,420</b>  | <b>\$76,824</b>  | <b>(\$1,256)</b>  | <b>\$2,713</b>    | <b>\$20,757</b>   | <b>\$72,176</b>   |
| Cash Flow from Operations                                         | 1731             | 1270             | 392              | 2249             | 2911           | 6348             | 7333             | 11577            | 15345            | 14489             | 16262            | 17255            | 18943            | 20157            | 22053            | 23781            | 5,642             | 28,169            | 63,351            | 84,934            |
| Capex                                                             | (361)            | (433)            | (530)            | (509)            | (248)          | (289)            | (278)            | (253)            | (369)            | (977)             | (977)            | (977)            | (977)            | (977)            | (977)            | (977)            | (1833)            | (1068)            | (3300)            | (3908)            |
| <b>Free Cash Flow</b>                                             | <b>\$1,370</b>   | <b>\$837</b>     | <b>(\$138)</b>   | <b>\$1,740</b>   | <b>\$2,663</b> | <b>\$6,059</b>   | <b>\$7,055</b>   | <b>\$11,324</b>  | <b>\$14,976</b>  | <b>\$13,512</b>   | <b>\$15,285</b>  | <b>\$16,278</b>  | <b>\$17,966</b>  | <b>\$19,180</b>  | <b>\$21,076</b>  | <b>\$22,804</b>  | <b>3,809</b>      | <b>27,101</b>     | <b>60,051</b>     | <b>81,026</b>     |
| FCF/Share                                                         | \$0.05           | \$0.03           | (\$0.01)         | \$0.07           | \$0.11         | \$0.24           | \$0.28           | \$0.45           | \$0.60           | \$0.54            | \$0.62           | \$0.66           | \$0.73           | \$0.79           | \$0.87           | \$0.94           | \$0.15            | \$1.09            | \$2.42            | \$3.33            |

Source: Company Data, Evercore ISI Research

## VALUATION METHODOLOGY

We apply a P/E ratio of 30x our 2030 EPS power of \$8.05 to get \$241 in 2030, which we discount back to get a \$150 one year price target.

## RISKS

Competition from traditional semi companies like AMD and Intel, as well as from customers like Amazon and Google which have started making their own chips. Supply risks associated with a concentrated supply chain based largely in Taiwan, Korea and SE Asia

## COMPANIES UNDER COVERAGE BY AUTHOR

| Symbol  | Company                                  | Rating     | Price<br>(2024-29-08) | Evercore ISI<br>Target |
|---------|------------------------------------------|------------|-----------------------|------------------------|
| ADI     | Analog Devices, Inc.                     | Outperform | \$227.17              | \$280.00               |
| ALAB    | Astera Labs, Inc                         | Outperform | \$43.52               | \$80.00                |
| ALGM    | Allegro MicroSystems, Inc                | Outperform | \$24.04               | \$35.00                |
| AMAT    | Applied Materials, Inc.                  | Outperform | \$192.89              | \$260.00               |
| AMD     | Advanced Micro Devices, Inc              | Outperform | \$146.36              | \$193.00               |
| ARM     | Arm Holdings plc                         | Outperform | \$125.32              | \$173.00               |
| ASML-NL | ASML Holding NV                          | Outperform | €799.40               | €1085.00               |
| AVGO    | Broadcom Inc.                            | Outperform | \$158.18              | \$201.00               |
| GFS     | GlobalFoundries Inc                      | Outperform | \$45.35               | \$71.00                |
| INTC    | Intel Corporation                        | In Line    | \$19.61               | \$25.00                |
| LRCX    | Lam Research Corporation                 | Outperform | \$805.11              | \$1130.00              |
| MCHP    | Microchip Technology Inc                 | Outperform | \$79.40               | \$101.00               |
| MRVL    | Marvell Technology Group Ltd             | Outperform | \$68.44               | \$91.00                |
| MTSI    | MACOM Technology Solutions Holdings, Inc | Outperform | \$105.48              | \$120.00               |
| NVDA    | NVIDIA Corp.                             | Outperform | \$125.61              | \$150.00               |
| NXPI    | NXP Semiconductors NV                    | Outperform | \$246.91              | \$370.00               |
| ON      | ON Semiconductor Corp                    | Outperform | \$74.63               | \$105.00               |
| PI      | Impinj, Inc.                             | Outperform | \$163.38              | \$205.00               |
| QCOM    | QUALCOMM Inc.                            | In Line    | \$171.85              | \$190.00               |
| TXN     | Texas Instruments Inc.                   | Outperform | \$207.74              | \$268.00               |

**TIMESTAMP****(Article 3(1)e and Article 7 of MAR)**

Time of dissemination: August 29 2024 3:42 AM ET

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**Outperform-** the total forecasted return is expected to be greater than the expected total return of the analyst's coverage sector.

**In Line-** the total forecasted return is expected to be in line with the expected total return of the analyst's coverage sector.

**Underperform-** the total forecasted return is expected to be less than the expected total return of the analyst's coverage sector.

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**Sell** -the total forecasted return is expected to be less than 0%

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Strong Buy- Return > 20%  
Buy- Return 10% to 20%  
Neutral - Return 0% to 10%  
Cautious- Return -10% to 0%  
Sell- Return < -10%

For disclosure purposes, ISI Group and ISI UK ratings were viewed as follows: Strong Buy and Buy equate to Buy, Neutral equates to Hold, and Cautious and Sell equate to Sell.

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Equal-Weight- the stock is expected to perform in line with the average total return of the analyst's coverage universe over the next 12 months.  
Underweight -the stock is expected to underperform the average total return of the analyst's coverage universe over the next 12 months.  
Suspended- the company rating, target price and earnings estimates have been temporarily suspended.

For disclosure purposes, Evercore Group's prior "Overweight," "Equal-Weight" and "Underweight" ratings were viewed as "Buy," "Hold" and "Sell," respectively.

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**Short**- the stock is a negative holding in the model portfolio; the total forecasted return is expected to be less than 0%.

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Stocks included in the model portfolio will be weighted from 0 to 100% for Long and 0 to -100% for Short. A stock's weight in the portfolio reflects the analyst's degree of conviction in the stock's rating relative to other stocks in the portfolio. The model portfolio may also include a cash component. At any given time the aggregate weight of the stocks included in the portfolio and the cash component must equal 100%.

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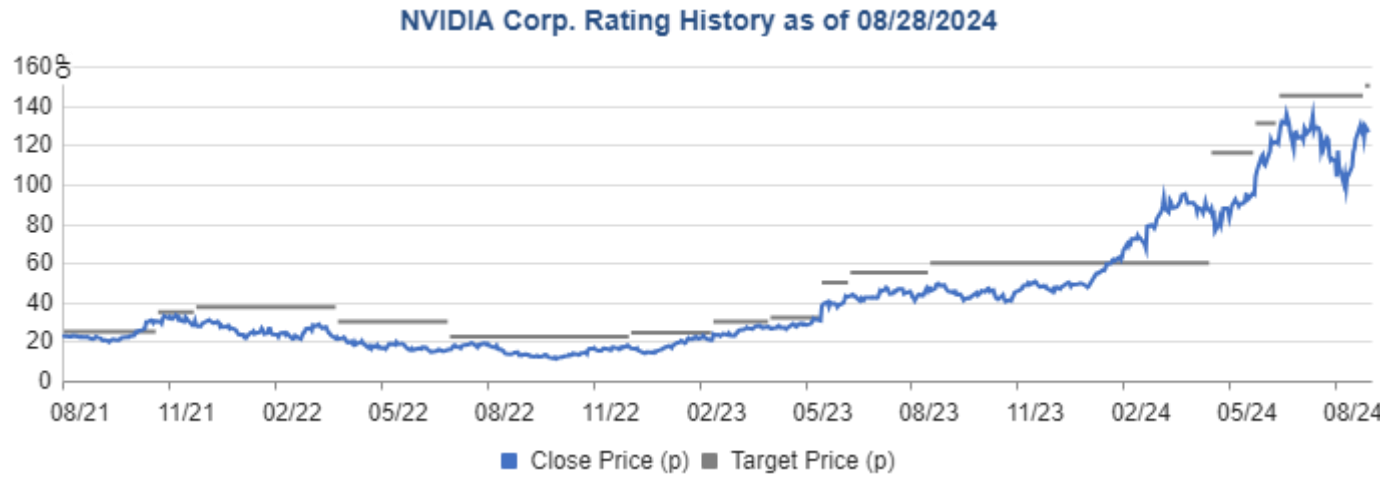
#### Evercore ISI rating (as of 08/29/2024)

| Coverage Universe  |       |      | Investment Banking Services I Past 12 Months |       |      |
|--------------------|-------|------|----------------------------------------------|-------|------|
| Ratings            | Count | Pct. | Ratings                                      | Count | Pct. |
| Buy                | 441   | 58   | Buy                                          | 56    | 13   |
| Hold               | 287   | 37   | Hold                                         | 23    | 8    |
| Sell               | 14    | 2    | Sell                                         | 4     | 29   |
| Coverage Suspended | 18    | 2    | Coverage Suspended                           | 5     | 28   |
| Rating Suspended   | 6     | 1    | Rating Suspended                             | 1     | 17   |

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The analyst has engaged in employment discussions with NVIDIA Corp. in the past six months.

Price Charts



Ratings Key

|   |      |    |              |    |             |    |                    |
|---|------|----|--------------|----|-------------|----|--------------------|
| B | Buy  | OP | Outperform   | L  | Long        | CS | Coverage Suspended |
| H | Hold | IL | In Line      | NP | No Position | RS | Rating Suspended   |
| S | Sell | UP | Underperform | S  | Short       |    |                    |

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